

Revealed Preference for Green Stocks: An Asset Demand Approach

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This paper: Revisits some of these findings with a new estimator to better tease out investors' ESG demand.

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- Estimate investor-specific sensitivity to E-scores: β_{it}
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Findings:

1. Aggregate demand for greenness has increased since 2000
2. Larger institutions have stronger preference for greenness
3. Counterfactual pension fund ban: brown stocks gain $\approx 1.1\%$, green stocks lose $\approx 1.6\%$

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2. Why mixed logit better/worse?

- More flexible substitution patterns ✓ (Not used in this paper)
- How important is that for equities?
- Not clear how this links to papers' main goal: Estimating ESG preferences

Suggestion: Show which estimator best captures realistic substitution patterns. Potentially nice contribution there!

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 - Is the time series evolution and heterogeneity in ESG preferences across investors different than in e.g. Koijen Richmond Yogo (2024) or Noh Oh Shin Song (2024) ?

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Suggestion Motivate clearly why estimating ESG demand is actually non-trivial, that your estimates are different from existing literature, and why your mixed logit demand system potentially overcomes previous challenges in estimating ESG demand.

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- Consider standard portfolio choice with ESG constraint

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- Say we observe some mutual fund with a negative ESG tilt.
 - Is it because of lower ESG preferences than market: $\beta_i < \beta_m$
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- Without further identification we cannot tell! $\rightarrow$ Demand System.

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Suggestion 2: Quantify importance of these substitution patterns!

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- When selling an ESG stock, more likely to substitute towards another ESG stock. (?)

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Suggestion 3: Estimate demand at investor-level (as opposed to market level)

- Goal is to get investor-level ESG preferences: I don't understand any of the arguments why market-level estimation would be better than investor-level estimation.
- See Xiao and Fang (2025)

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 3. Characteristics-based factor model (Haddad et al. 2025, Chaudhary et al. 2026)
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Suggestion:

Compare different methodologies in unified study and use ESG-setting as a case study to test it.

(My hunch: There is an ESG “factor” in covariance matrix of returns (at least recently), but this primarily comes from factor in demand shifts, and not so much from factor in elasticity matrix)

Conclusion

Nice paper!

..using data on quantities to explain beliefs/preferences is nice and refreshing new literature

1. Research question could be motivated more clearly:
 - What do we learn beyond existing estimates?
2. Estimating realistic substitution patterns in investor holdings is clearly important
 - Clarify how this is linked to the research question.
 - Potentially valuable contribution: Which estimator should we use?